

Breaking barriers: The rise of women investors in India's equity markets

Among the most **notable** trends in the equity market is the **surge** in women investors, whose participation has grown 6.8 times since 2015

The Indian equity market has **radically** transformed over the past two **decades**. The **advent** of smartphones, digital trading platforms, and increased financial literacy **has ushered in** a new **era** of investors — young, financially aware, and open to taking calculated risks. Recent **data** from the National Stock Exchange (NSE) **reveals** that women now **constitute** over 22 per cent of equity market investors in India, a 6.8X growth since 2015.

This surge in female participation is particularly **noteworthy given** the **tepid** adoption of demat trading in its early days. It could be **attributed to** women enjoying greater financial independence, a growing interest in equities, and a disciplined approach to **sustainable** wealth creation. The **rise** in women's financial awareness **has** also been a critical **driver** of this growth. A **study** by CRISIL and DBS **found** that 47 per cent of women now make independent financial decisions.

This newfound **autonomy** is **reflected** in the increasing number of women investing in mutual funds. According to AMFI data, women's share in industry AUM rose to nearly 21 per cent by the end of December 2023, against 15.2 per cent in March 2017. Importantly, this trend is not limited to major cities; women in smaller towns show equal **enthusiasm** for capital market investments.

However, the same CRISIL and DBS study revealed that women still allocate 51 per cent of their investable assets to fixed deposits and savings bank accounts, 16 per cent to gold, 15 per cent to mutual funds, 10 per cent to real estate, and just 7 per cent of their **investible corpus**—being the least preferred option. Given the proven potential for substantial market returns, women's **risk-averse** attitude towards equities is particularly **perplexing**.

Over the past five years, **benchmark indices** have delivered over 100 per cent returns. **For instance**, based on a daily **rolling return** analysis, the Nifty 50 Total Returns Index has shown positive returns of approximately 93 per cent over three years.

These double-digit **returns** from long-term equity investments **have** far **outpaced** the single-digit interest rates offered by traditional savings accounts and fixed deposits. However, women **tend to be** cautious when it comes to equities. The potential **impact** of increased women's participation in equity markets **is substantial**. A BCG study found that women contribute \$5 trillion annually to the global wealth pool. **Encouraging** more significant equity investment among women and **prudent** risk management practices **is** crucial for building a stronger financial future for individuals and the nation.

Regulators are already implementing measures to create a safe and **transparent** market environment for women investors. For instance, **initiatives** like the Women's Investor Awareness Programme actively **educate** and **empower** women by simplifying stock market concepts and encouraging them to

take control of their financial futures. Simultaneously, the industry **complements** these efforts by developing accessible and informative content in regional languages and **diverse** formats, such as podcasts and video tutorials, to make complex financial concepts easier to understand. Women themselves must actively participate in the stock market by engaging in discussions, **seeking** knowledge, and taking the initiative to invest. **Starting** with a **systematic investment plan** (SIP) **is** a smart approach to building wealth over time. Additionally, consulting financial experts can help women **navigate** the market with confidence. It is time for women to **seize** this opportunity, take control, invest **wisely**, and contribute to rebuilding a more equitable and financially **robust** India.

- Red/blue coloring of words in the sentence indicates subject verb relationships; where 'red' denotes 'subject' and 'blue' denotes 'verb'

Vocabulary

1. **Notable** (adjective) – Remarkable, significant, noteworthy, important, worthy of attention
उल्लेखनीय
2. **Surge** (noun) – Sudden increase, upsurge, spike, rapid rise तेज़ उछाल
3. **Radically** (adverb) – Completely, fundamentally, drastically, thoroughly मूल रूप से
4. **Decade** (noun) – Period of ten years दशक
5. **Advent** (noun) – Arrival, coming, onset, appearance आगमन
6. **Usher in** (phrasal verb) – Initiate, herald, begin, introduce शुरूआत करना
7. **Era** (noun) – Period, age, epoch, time period युग
8. **Constitute** (verb) – Form, make up, account for, represent बनाना/निर्माण करना
9. **Noteworthy** (adjective) – Significant, important, remarkable, noteworthy
उल्लेखनीय
10. **Given** (preposition) – Considering, taking into account, in view of देखते हुए
11. **Tepid** (adjective) – Lukewarm, unenthusiastic, half-hearted, indifferent
उत्साहहीन
12. **Attributed** (to) (adjective) – Ascribed to, credited to, blamed on, linked to जिम्मेदार ठहराना
13. **Sustainable** (adjective) – Long-lasting, enduring, viable, maintainable टिकाऊ
14. **Driver** (noun) – Motivator, catalyst, factor, impetus प्रेरक तत्त्व
15. **Autonomy** (noun) – Independence, self-governance, freedom, self-determination स्वायत्तता
16. **Reflect** (verb) – Show, indicate, demonstrate, mirror दिखाना
17. **Enthusiasm** (noun) – Eagerness, excitement, zeal, fervor उत्साह
18. **Investible** (adjective) – Available or suitable for investment, investable, allocable निवेश योग्य
19. **Corpus** (noun) – Principal amount, fund, capital, sum of money संचयी धन
20. **Risk-averse** (adjective) – Cautious about risk, unwilling to take chances, conservative जोखिम से बचने वाला
21. **Perplexing** (adjective) – Confusing, puzzling, baffling, bewildering उलझाने वाला
22. **Benchmark indices** (noun) – The S&P 500, the Wilshire 5000, the Nifty 50, and the S&P

BSE Sensex are all examples of benchmark indices

23. **For instance** (phrase) – For example, such as, by way of illustration उदाहरण के लिए

24. **Rolling return** (noun) – Average return over a specific period on a continuous basis, moving performance calculation निरंतर अवधि का औसत रिटर्न

25. **Outpace** (verb) – Surpass, exceed, outdo, outstrip आगे निकल जाना

26. **Tend** (to) (verb) – Be inclined, be likely, usually behave, lean towards प्रवृत्त होना

27. **Substantial** (adjective) – Significant, considerable, meaningful, large पर्याप्त

28. **Prudent** (adjective) – Wise, judicious, careful, cautious समझदारी भरा

29. **Transparent** (adjective) – Clear, open, straightforward, easily understood पारदर्शी

30. **Complement** (verb) – Accompany, enhance, go with, supplement पूरक होना

31. **Diverse** (adjective) – Varied, assorted, different, heterogeneous विविध

32. **Seek** (verb) – Pursue, look for, strive, search for तलाश करना

33. **Systematic investment plan** (SIP) (noun) – Method of investing a fixed amount regularly in mutual funds, recurring investment approach व्यवस्थित निवेश योजना

34. **Navigate** (verb) – Manage, steer, find one's way, guide मार्ग दर्शन करना

35. **Seize** (verb) – Grab, take advantage of, capitalize on, take hold of अवसर को पकड़ना

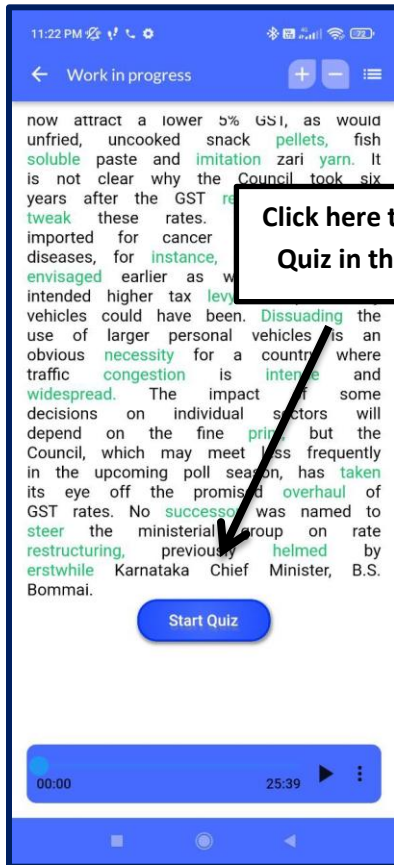
36. **Wisely** (adverb) – Intelligently, prudently, judiciously, cleverly समझदारी से

37. **Robust** (adjective) – Strong, solid, resilient, vigorous मज़बूत

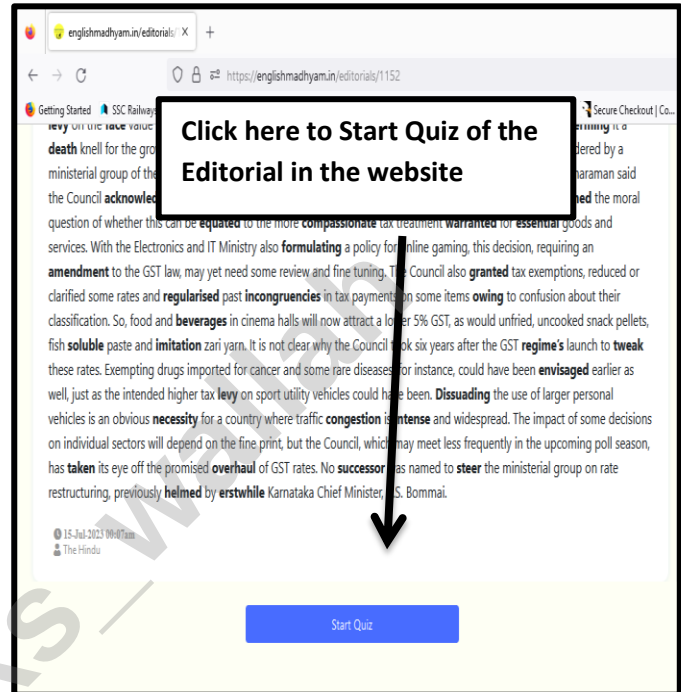
Summary of the Editorial

1. **Growth in Women Investors:** Women's participation in the Indian equity markets has grown 6.8 times since 2015, now accounting for over 22% of investors, driven by digital access and financial awareness.
2. **Financial Independence:** Increased financial independence and a focus on sustainable wealth creation are key reasons for this surge in female participation.
3. **Rising Autonomy:** A CRISIL-DBS study found that 47% of women now make independent financial decisions, reflecting their growing role in investment planning.
4. **Mutual Funds Participation:** Women's share in mutual fund investments rose from 15.2% in 2017 to nearly 21% in 2023, indicating a broader acceptance of capital markets.
5. **Beyond Urban Areas:** Women in smaller towns and rural areas are equally keen on investing, showing widespread interest in equity markets.
6. **Conservative Asset Allocation:** Despite growth in equity investments, 51% of women's assets remain in fixed deposits and savings accounts, with only 7% allocated to equities.
7. **High Returns Ignored:** Women's cautious attitude towards equities persists despite benchmark indices delivering over 100% returns in the past five years, far outperforming traditional savings instruments.
8. **Potential Impact:** Women's increased participation in equities could significantly boost global wealth pools, as women currently contribute \$5 trillion annually.
9. **Regulatory Support:** Initiatives like the Women's Investor Awareness Programme aim to educate and empower women, simplifying stock market concepts for broader engagement.
10. **Industry Efforts:** Financial content in regional languages, podcasts, and videos make complex financial topics accessible and encourage women's participation.
11. **Risk Management Education:** Emphasizing prudent risk management and long-term investment strategies is essential to enhance women's confidence in equities.
12. **Systematic Investment Plans (SIPs):** SIPs are highlighted as a beginner-friendly way for women to enter the equity market and build wealth consistently.
13. **Consulting Experts:** Financial experts can guide women in navigating market complexities, promoting informed and confident investment decisions.
14. **A Path to Equity:** Increased participation in equities by women can lead to greater economic equality and a financially robust India.
15. **Call to Action:** Women are encouraged to take initiative, educate themselves, and actively invest to seize this opportunity for financial growth and empowerment.

Practice Exercise: Banking Pattern Based



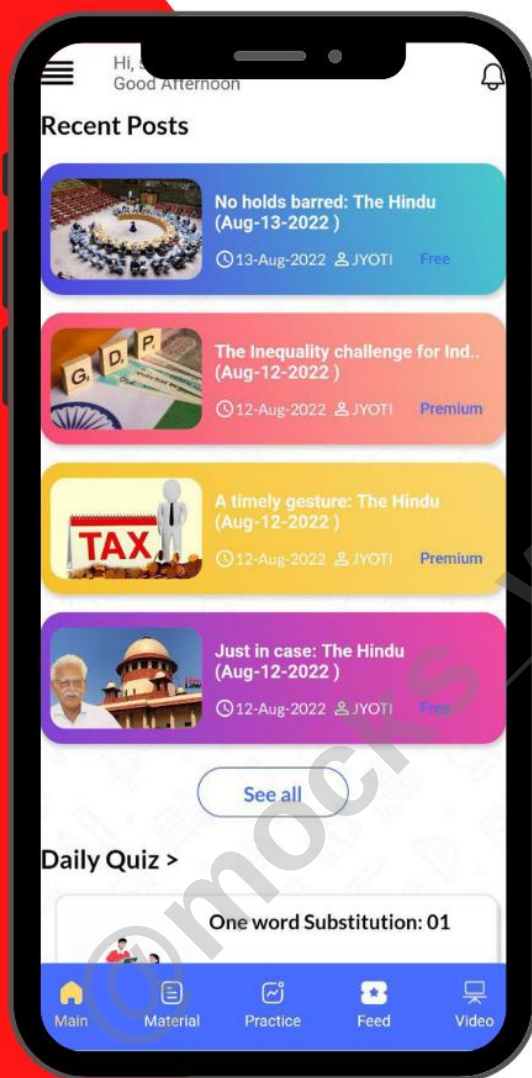
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